- Credit to industry contracted by 1.9 per cent during 2016–17, in contrast to a growth of 2.7 per cent in the previous year.
- Credit to infrastructure (which accounts for about one-third of the outstanding bank credit to industry) contracted by 6.1 per cent in 2016–17 on top of a low growth of 4.4 per cent in the previous year. Within infrastructure, credit growth contracted/decelerated in respect of all major segments such as power, telecommunication and roads.
- Credit to textiles and engineering goods also declined.

Worse still, the impact of demonetization persisted well into 2017.

- During 2017–18 (up to June 2017), overall credit slowdown has persisted with most sectors witnessing deceleration or contraction. While credit to industry continued to contract, credit growth to agriculture slowed down significantly to 7.5 per cent in June 2017 from 13.8 per cent in the corresponding period of the previous year. Credit to the services sector decelerated sharply, reflecting slowdown across all its sub-components, barring trade and other services.

The Economic Review went on to candidly explain the reasons for lower credit offtake:

A combination of factors drove down credit growth despite softening of lending rates.

- The subdued state of economic activity;
- risk aversion in the banking sector with a legacy of NPAs and capital adequacy requirements acting as a binding constraint on banks;
- one-off/statistical factors such as loan write-offs; and
- banks' pre-occupation with exchange of notes/deposits following demonetization.